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for a huge amount of household-saving subsidy to their producers, who then go on and capture market share, most importantly, generate employment. Now the question is when you talk about spending this huge money, nobody can object to it going to the poorest because they really need it to survive. The unique identity project should minimise this transfer at this point of time, put a deadline on your ID and then make sure that this is going to the right place. The rest of the money should go to promoting producers by creating the infrastructure that would help us in our major task today which is of employment expansion.

Bery: We may have had a withdrawal of global demand recently but basically Government spends in one area, resources are going to get reallocated to it. It is not clear to me that there is an aggregate growth benefit and I don't think that our Government spends as efficiently as the private sector. And the fact is that all of the stuff has got politicised through Centrally-sponsored schemes that allow the Government of the day, to play favourites. This whole apparatus of Centrally-sponsored schemes is a very unproductive Central resource grab with profound social consequences.

Ranade: When we talk of Centrally-sponsored schemes there are too many conditionalities, too much Central emphasis, too much emphasis on Centralised part; they are all local programmes or are supposed to be actually. The money should be given unconditionally to the states to administer.

Goyal: When the Government is not good at anything compared to the private sector, so the private sector is better at spending, the Government profligacy puts money in private hands, it is a demand stimulus. But that is a short-run demand stimulus. And in India we have a lot of infrastructure and other sort of bottlenecks that are being tried to be addressed—health, education etc. There we need a supply-side response. The story can change so that the expenditure creates long-run supply response, builds private sector capacity, then it will be much better. Then it will not be profligacy, it will be effective expenditure.

Roy: If you think of this as a stimulus or not. Yes, it is a stimulus. Question is that, should we have spent that much amount of money to get this kind of a stimulus? But that could have been possibly better managed. But what is more important is that it has got a

catalytic impact. When you have these things like NREGA, etc the cost of agriculture labour will also go up in certain areas. And once that goes up, the labour over there is sort of better placed.

Kumar: This demand side stimulus is like feeding a patient with steroids. You feel good because of steroids, but you know that steroids are always for the short-term because you have got to shift to some other medicine; always there are side-effects; and what we really need for the basic health of the patient to improve can be equated to the supply-side response. So unless you do that this stimulus is not going to take place.

Dev: From a purist point of view, profligacy is true. But from a Keynesian point of view any public expenditure is okay during depression as it increases aggregate demand through multipliers. It is true that the increase in major part of the deficits in the revised estimates did not occur due to stimulus package but on account of additional outlays on subsidies, Sixth Pay Commission revisions, loan waiver, more expenditure on NREGA etc.

IS THE RECOVERY FOR REAL?

Is it the result of easy money or is it sustainable growth?

Roy: The recovery is for real because if you look at the last three quarters, the growth rates are 5.7, 5.7 and 6.1, and I don't think the next quarter is going to be anything less than 6.1. In fact, I would go with an estimate, probably up to 6.5 or slightly higher. We had an over-reaction between November 2008 and March 2009. It is not

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The recovery is real. It is more than just easy liquidity. The mood has changed from negative to positive.

The present policies of stimulus should be continued at least till the first quarter of next fiscal. ”